

as he had some himself and had converted many. From his teaching, this is
:what I understood

London is the capital city of England and is the biggest city in the UK so“
many people want rooms to rent there. The only problem is that house
prices in London are so expensive that your return is very low. It would
likely cost you £1,000,000 for a 4-bed HMO near the centre of London and
”.although your rents would be very high too, your ROI would be very poor

The second biggest city is, arguably, Birmingham, so there are still many
people wanting rooms to rent there. The problem with Birmingham is that
the north is cheap and tacky, the south is expensive and the middle is just
apartments. However, there is this little village called Bournville that is just
a few miles away from the centre. It has a train station and superb transport
into town and is famous for its Cadbury World so has many people coming
in for jobs. For these reasons Bournville is a secret goldmine area for
HMOs and there are hundreds of people looking for rooms there, and just
when you think it couldn't be any better, the houses are cheap too! So,
.Bournville is THE area for buying HMOs

For this reason, I planned to only invest in Bournville. It was about an
hour's drive from where I lived which wasn't too bad, and I planned to get a
management team in the future anyway. One day, a friend of mine told me
.he was buying two 4-bed HMOs in Wolverhampton

I was very concerned for him. He asked me to rent out the eight rooms and I
told him that I couldn't promise to rent them out as they were not in
.Bournville, but I would do my best

The time came when he completed the sale and was ready for me to market
the rooms. He had paid £125,000 for each of them and they were in
immaculate condition ready to be rented out. I put an advert up and began
planning how I would find tenants in such a small city as Wolverhampton
where I would have to persuade people to move in. Within a few hours of